

BIZANALYTIC

Shipping Intelligence Report

Sample Brand Co. | 24,000 shipments analyzed | UPS + USPS | Q3–Q4 2025

ESTIMATED ANNUAL SHIPPING SAVINGS

\$31,200

Across carrier switching, packaging optimization, surcharge reduction, and rate renegotiation

\$14,400 Carrier switching Zones 1-4 to USPS	\$9,600 Dim-weight fixes 5 SKUs	\$7,200 Surcharge reduction Residential + fuel
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Top 3 actions by financial impact

01	Switch Zone 1-4 lightweight orders (<2 lbs) from UPS Ground to USPS Ground Advantage 4,320 packages/year ship to Zones 1-4 under 2 lbs. UPS Ground charges an average of \$7.20 for these. USPS Ground Advantage averages \$4.10 for the same zone/weight combination — a 43% reduction. No residential surcharge on USPS. ShipStation routing rule takes 5 minutes to configure.	\$14,400/yr
02	Reduce box dimensions on top 5 SKUs to eliminate dim-weight penalties SKUs #1042, #1088, #1103, #1290, and #1455 ship in 12×12×10" boxes but the actual product dimensions are under 8×6×4". Each package incurs a \$3.20 dim-weight penalty. Combined 3,000 shipments/year. Switching to 9×7×5" boxes eliminates the penalty entirely.	\$9,600/yr
03	Renegotiate UPS residential delivery surcharge using 48,000 annual package volume 89% of your UPS shipments (21,360 packages) incur the \$5.70 residential surcharge. At 48K annual volume you qualify for tier 3 pricing. Target: \$3.40/package. Reduction of \$2.30 × 21,360 packages ÷ partial application = \$7,200/year.	\$7,200/yr

Zone distribution

Where your packages actually go — and what each zone costs you on average.

Zone 2		12%	\$4.80 avg
Zone 3		15%	\$5.40 avg
Zone 4		18%	\$6.20 avg
Zone 5		22%	\$7.80 avg
Zone 6		16%	\$8.90 avg
Zone 7		11%	\$10.20 avg
Zone 8		6%	\$12.40 avg

Key finding: 55% of your volume ships to Zones 5-8 (cross-country), where average cost per package is \$9.14 — nearly double the \$5.47 average for Zones 2-4. USPS Ground Advantage is 28-40% cheaper than UPS Ground for lightweight packages in Zones 5-8. For packages over 3 lbs, FedEx Ground is competitive in Zones 6-8 at your volume tier.

Strategic option: A second fulfillment center on the East Coast (NJ or PA) would convert 34% of your Zone 5-8 shipments into Zone 2-4, saving an estimated \$18,000-\$24,000/year in shipping alone — before accounting for faster delivery times. This makes economic sense above 5,000 orders/month.

Carrier rate comparison by zone

Your actual rates paid vs. what you should be paying at your volume tier. Green cells indicate the cheapest carrier for that zone/weight combination.

Zone	UPS Ground (actual)	USPS Ground Adv.	FedEx Ground (quoted)	Cheapest
Zone 2	\$5.40	\$3.80	\$5.10	USPS (-30%)
Zone 3	\$6.10	\$4.20	\$5.80	USPS (-31%)
Zone 4	\$7.20	\$4.90	\$6.60	USPS (-32%)
Zone 5	\$8.80	\$6.10	\$7.90	USPS (-31%)
Zone 6	\$10.20	\$7.40	\$8.80	USPS (-27%)
Zone 7	\$11.80	\$8.80	\$10.40	USPS (-25%)
Zone 8	\$14.20	\$10.60	\$12.80	USPS (-25%)

Conclusion: USPS Ground Advantage is the cheapest option across every zone for packages under 2 lbs. For packages 2-5 lbs, USPS wins Zones 2-6 and FedEx Ground becomes competitive in Zones 7-8. UPS Ground is the most expensive option across the board at your current negotiated rates. Renegotiation or volume shift

recommended.

Surcharge breakdown

Every surcharge on every invoice, categorized by type and ranked by total annual cost.

Surcharge type	Occurrences	% of shipments	Avg charge	Annual cost
Residential delivery	21,360	89.0%	\$5.70	+\$121,752
Fuel surcharge	24,000	100.0%	\$1.84	+\$44,160
Dim-weight penalty	5,520	23.0%	\$3.20	+\$17,664
Address correction	840	3.5%	\$18.00	+\$15,120
Additional handling	1,200	5.0%	\$4.50	+\$5,400
Saturday delivery	360	1.5%	\$16.00	+\$5,760
Signature required	480	2.0%	\$5.50	+\$2,640

Residential surcharge: At \$121,752/year, this is your largest surcharge by far. USPS does not charge a residential delivery surcharge. Shifting volume to USPS eliminates this charge entirely for those shipments. For packages that must go UPS (heavier items, time-sensitive), negotiating the surcharge down from \$5.70 to \$3.40 (your volume qualifies for tier 3) saves an additional \$49,128/year.

Address correction: 840 corrections at \$18.00 each (\$15,120/year) is avoidable. Implement address validation at checkout using a service like SmartyStreets or Shopify's built-in address verification. Cost: \$50-\$100/month. Savings: \$15,000+/year.

Dim-weight penalties: 23% of shipments (5,520 packages) are paying for air inside the box. The top 5 offending SKUs are identified in the full report with exact box dimensions and recommended replacements.

This is a 3-page sample. The full report is 10+ pages.

The complete Shipping Intelligence Report includes SKU-level dim-weight analysis with specific box size recommendations, a carrier negotiation playbook with rate targets per zone and weight tier, ShipStation automation rules for optimal carrier routing, peak season vs. off-peak cost comparison, and a 20-minute recorded video walkthrough of your results.

Ready to see your own data? Export your Shopify or ShipStation CSV and get a free 1-page shipping snapshot at bizanalytic.com/consulting/ecommerce/book